Theory case · Topic 1 · 2 points · 15 min

C06 — Meseta Aerostructures: a CEO, dispersed shareholders and the agency problem

Meseta Aerostructures S.A. is listed on the stock exchange; no shareholder owns more than 2% of its shares. Its CEO, a professional manager, is paid a fixed salary that grows with the number of employees under her. In three years she has bought two loss-making companies, moved headquarters to an expensive tower and ordered a corporate jet, while the share price has fallen by 30%. The annual report gives little detail on these decisions, and most small shareholders do not attend the general meeting.

Part (a) · 1 point

Explain why this situation is an agency problem

In large corporations the company is run by **managers**, professional employees, while it is owned by the **shareholders**: ownership is separated from control [Slide 25]. At Meseta, the CEO's pay rises with the number of employees, so her objective is **size and prestige** (acquisitions, tower, jet), not the value of the shares. Shareholders and managers have **different objectives** and **different access to information** (the report gives little detail), and with stakes below 2% no shareholder has enough information or **incentive** to assess her performance. The result is a conflict of interest between ownership and control: the **agency problem**.

KEY POINTS

- Ownership (shareholders) is separated from control (the professional CEO).
- The CEO pursues her own benefit (size, prestige) instead of the shareholders' (value).
- Different access to information and different objectives; dispersed shareholders lack information and incentives to monitor.

Part (b) · 1 point

Propose mechanisms that would align the CEO's decisions with the shareholders' interests

Shareholders must be able to control how the manager acts [Topic 1, Slide 26]:

1. **Select the Board of Directors** so that it actually supervises the CEO and approves large acquisitions.
2. **Contracts linked to goals:** replace pay tied to headcount with incentive compensation tied to profit or share value [Topic 2, Slide 4].
3. **Request audits** of the acquisitions and expenses, and publish **indicators** that let shareholders judge performance.
4. Outside the firm, the **market of enterprises** (a falling share price invites a takeover that would replace the CEO) and the **labour market** for managers (her reputation) also discipline her [Topic 2, Slide 4].

Increasingly, shareholders with large blocks of shares take the decisions [Slide 26]; a group of institutional investors could build such a block at Meseta.

KEY POINTS

- Select a Board of Directors that supervises the CEO.
- Contracts linked to goals (pay tied to profit or share value instead of headcount); incentive compensation.
- Audits and indicators.
- External discipline: the market of enterprises (takeover risk) and the labour market for managers.